

Note: Do some changes like fonts style size or color also in table

FALL 2021

FINANCIAL ACCOUNTING (MGT101)

ASSIGNMENT # 01

DUE DATE: 08th December 2021 MARKS: 10

ID

Solution

Question 1

Write the relevant source of financial information in second column against all information given in first column from the following list:

- Event
- Transaction
- Condition

Answer

Firs Column Information	Second Column Source of information
Payment of salaries to employees	Transaction
Loss by fire	Event
Depreciation of non-current assets	Condition
Sale of goods to ABC Brothers on credit basis	Transaction

Question 2

Rahim Brothers showed balances of Debtors Rs. 35,000 and Creditors Rs. 45,000 as on 1st November 2021. Some transactions of Rahim Brothers for the month of November 2021 are given below.

Date	Transactions
7th November	Goods purchased amounting to Rs. 30,000 on account.
9th November	Goods purchased amounting to Rs. 15,000 on Cash basis
15th November	Rs. 10,000 paid to creditors.
24th November	Sold goods to a customer for Rs. 20,000 on credit basis
26th November	Sold goods to a customer for Rs. 27,000 on cash basis
28th November	Cash collected from customer Rs. 5,000.

Required: Based on the above transactions, calculate the amount/balance of the following accounts at the end of November 2021.

1- Debtors

2- Creditors

Answer:

Debtor Balance:

Opening Balance = Rs. 35,000

Credit Sale (add+) = Rs. 20,000

Cash Collected (less-) = Rs. 5,000

Closing Balance = Rs. 50,000

Creditors Balance:

Opening Balance = Rs. 45,000

Credit Sale (add +) = Rs. 30,000

Cash Collected (less -) = Rs. 10,000

Closing Balance = Rs. 65,000

Note: Do some changes like fonts style size or color also in table